Public Policy 2024-2024 Final Exam

With excellent (=maximum score) "best practice" answers

November 29, 2024, 14:00-17:00

The maximum score of the exam is 140 points. To pass Public Policy, you must achieve a minimum score of 70 points. The exam consists of three parts:

I. One broad question (with four sub-questions, of which you must answer only three) to be answered in the form of a short essay comprising roughly 600-800 words (~2.5 pages DIN A4). The maximum score is 60 points (15 points per each sub-question, 15 points for overall effort and originality). Be as brief and clear as possible! Good examples and the capacity to make (valid, useful) connections between different course topics will yield originality points.

II. Six short questions (of which you must answer only five) to be answered in a few sentences. Each response shouldn't be longer than roughly 150 words (~½ page DIN A4). The maximum score is 60 points (12 points per question). Be as brief and clear as possible!

III. Ten multiple-choice questions. The maximum score is 20 points (2 points per question).

Exam Rules:

- The maximum duration of the exam is 3 hours. You may submit your responses whenever you are done.
- The exam is "open-book," which means that you may use all course-related material, including the material on e-learning. Respondus will grant you access to e-learning and to the readings.
- No electronic devices other than the computer on which you are writing the exam are allowed.
- The exam is *not* teamwork. During the exam, any communication with third persons, whether electronically or face-to-face, is strictly prohibited.
- In Parts I and II of the exam, if you cite passages e.g. from the readings or the course slides, you must put the cited text into quotation marks ("xyz") and provide the name(s) of the author(s). There are no further format requirements. For instance, you don't need to write "(Fleurbaey & Blanchet, 2006, p. 20)" after citing Fleurbaey and Blanchet, and you don't need to put a reference list at the end of your responses. Unmarked copy-pastes from the readings or course slides will be treated as plagiarism.
- In Parts I and II of the exam, any answer beyond what is required (the fourth question answered in Part I, the sixth question answered in Part II) is a waste of time and will not be taken into consideration for grading.

You will be notified with the exam grade before December 30, 2024. **Good luck!!**

Part I: Long essay-type question (max. 60 points, 600-800 words limit)

[Excerpts from "If so many experts oppose a social-media age ban, why is the government intent on rushing it through?" *The Guardian*, November 26, 2024]

A dominant theme of the hastily written submissions [=queries by policy stakeholders] to the [Australian] federal government's one-day review of its social-media ban bill [signed on November 21, 2024] is that the process is far too rushed to consider its wide-ranging effects on all Australians.

A year from now, every Australian logging on to Facebook, Instagram or TikTok may be confronted with a prompt that the company is requiring you to prove your age.

But even that is just speculation.

The bill that was introduced into parliament last week, and sent off to a committee for a single day – receiving over 15,000 submissions – contains no details about how it will work, only that the companies will be expected to take reasonable steps to ensure users are aged 16 and over.

The actual detail will come later, through the completion of a trial of age-assurance technology in mid-2025. Then, through [executive] powers, the minister for communications will determine what methods will be used and to which platforms they're applied.

[Minister for Communications] Michelle Rowland's predecessor, Stephen Conroy, once said he had "unfettered legal power" and could make telecommunications companies "wear red underpants on their head" if he wanted. The social media sector might wonder if this is where these new powers may go.

Elon Musk's X has warned that these new powers could be weaponised by a minister, and could limit free speech. X and the Human Rights Law Centre [= an Australian NGO] have both raised questions over the lawfulness of the bill.

We're told in media interviews which platforms are in and which are out – such as YouTube – but that will be up to the minister to decide at a later date.

The government has been at pains to say people won't be required to prove their age via the government's new digital ID, or that they will be required to hand over licences or passports to every social media platform. But there's nothing in the legislation today preventing that.

TikTok has said any requirement to hand over IDs is tantamount to requiring every social media user in Australia to have a licence to access social media.

Having read through the vast bulk of the publicly available written submissions, it's clear that most experts believe this is an ill thought-through policy which lacks evidentiary basis, likely won't work, and will have wide-ranging ramifications for every social media user in Australia.

One of the authors of the only major study on the effects of social media on teen mental health cited by the government doesn't back the government's ban.

At the Monday hearing, there was only one witness in favour of the bill – and she had campaigned for it well before today. Everyone else who wasn't a government agency or one of the politicians asking the questions was against the ban.

It appears the legislation will fly through parliament after a week of consideration.

Just over a year ago, in the wake of several high-profile data breaches, the government had suggested age-assurance raised too many privacy and security concerns for every Australian. Nothing substantial in the technology has changed since then. So why the change?

It appears to be the result of a combination of a months-long [effort by] the opposition pushing the government to adopt the policy, public polling backing the ban, and a News Corp campaign [= a mass media company, controlled by the Murdoch family, owning several newspaper and TV stations in Australia, but also Fox News and The Wall Street Journal]. News Corp's tabloid front pages across the major cities and an editorial in the Australian urged the parliament to pass the bill.

Passing the bill now, and it not coming into effect until after the next election [in May 2025] serves two purposes: it takes it off the table as an election issue; and it puts responsibility for implementation onto the next government.

(***Select and answer **three** out of the following questions. Inform your answers using relevant material from the lectures and from the required readings.***)

1. Applying Kingdon's Multiple Streams Framework, explain the Australian government's urgency in advancing the social media ban for under-16s. (20p)

According to Kingdon's Multiple Streams Framework, for policy change to happen, three streams, namely the problem-, policy-, and political stream, have to be aligned to open a policy window. When a policy window opens, issues can rise from the governmental to the decision agenda. These windows of opportunity are only open for a short amoount of time, which leaves little opportunity to decide and implement a policy. This explains the urgency in the Australian government to advance the social media ban for under 16s.
Currently, all streams align. The problem stream implies that attention has moved to the issue at hand, driven by the News Corp campaign printing it across front pages, as well as focusing events happening right now,such as a suicide accident resulting from cyber-bullying. Action needs to be taken before attention moves elsewhere.
The policy stream suggests that a solution to the problem is available. Policymakers view the threat that social media poses on under-16s as high, even though that is not scietifically backed up. Still, they see age restriction as a viable solution to the problem, thereby opening the policy stream.
The political stream also comes into the mix, as policymakers have the "unfettered legal power" and motivation to pass the bill fast as possible. The opposition, public polling, and the media urge them to pass the bill as fast as possible.

If the government waits much longer to pass the bill, the voices oppoosing the adoption of the bill might become even louder, public trust in the government's decision may go down, and tech companies might grow even more suspicious of the implications that the ban might have on them.
Therefore, the government must take action, as the existing policy window might not be open for long.

2. Identify and discuss three challenges that could hinder the successful implementation of the the social media ban for under-16s. For each challenge, suggest a strategy to address it. (20p)

The chosen instrument is regulatory, which means that it relies on the belief that " if there is a credible threat that non-compliance will be detected and sanctioned, the target population will change their behaviour" (lecture 12, slide 2). The challenges associated with such an instrument are usually legal difficulties, dependency of compliance on others' behaviour, and alienation caused by overregulation.
Legal difficulties are quite a straight-forward issue that are prominent in such wide-scale prohibition of the use of a good (in this case social media). As indicated, no concrete strategy for carrying out age verification has been stated by the government, which seems to indicate that no good solution has yet been found. Additionally, many possible solutions carry privacy and security risks, thus creating additional challenges that do not exist as of now (before implementation).
The legal challenge could be addressed by looking at similar policies implemented in other countries and drawing inspiration from their designs if possible.
Compliance challenges arise from the fact that social media is widely available; even if one does not own an account on, say, Instagram, there is nothing preventing them from consuming Instagram content via the use of their friend's account. Similarly, while under-16s could be t banned from creating social media accounts, publishing content etc, there is no feasible way to constrain them from accessing social media content for sure due to its availability in modern society.
Here, the challenge would have to be addressed by inducing a cultural shift that induces the belief that under-16s indeed should not be using social media. This could be done via the popularisation of relevant research, national level education campaigns, and discussions in public schools.
Alienation caused by overregulation refers to the idea that government image may get hurt if the laws implemented by it are perceived as too extreme by the general public. In this case, Australia has a specific target audience in mind - those that are currently under the age of 16 and those to come after them. By placing such a serious constraint on their freedom (as it could be perceived by the respective children and teenagers), the government might damage the trust that these future voters have in the government in the long-term. Additionally, parents who would not be in support of this policy could also begin to formulate negatively connotated beliefs about the legal system of Australia. Furthermore, the same arguments are facilitated by the fact that it will not only be the use of social media that will be constrained, but also through implementation techniques, the privacy and security of citizens might be violated.
The aforementioned could be addressed similarly to what was proposed with regards to the challenge with compliance. Essentially, the target group should not only be restricted in their choice, but also they should be convinced that a limit on social media will benefit them.

3. The relationship between the proposed policy instrument and its expected impact on child well-being is fraught with uncertainties. Discuss how the Australian government *has* dealt with these uncertainties, and how it *should have* dealt with them. (20p)

Firstly, defining uncertainty there are two major types "radical"/unmeasurable where the range of outcomes and/or probabilities are unknown/unknowable, and resolvable("risk") which is measurable in range of outcomes and probabilities. While the ranges of outcomes are somewhat known in the usage of Social media the actual impact of it but the probabilities are not yet known and the range outcomes have not yet fully been discovered, likely with more experiments and research there can be more insight, but this could be unlikely to happen due to ethical constraints of experimenting with children. What the Australian government chose to do would be something similar to a precautionary approach, for example Maximin where they are trying to maximize utility in the worst case, if we look at the scenarios of Social media being horrible, bad, neutral, good for children's well-being then they looked at it from the Rawlsian perspective of taking such a policy course to maximize utility assuming that the horrible scenario is true which if it doesn't hold would be likely creating lots of regret(opportunity cost in utility); they saw a policy window as argued in Q1 and took it without consulting many experts or in the very least cherry picking. What the Australian government should've done instead is consulted with experts in a multiple fields, e.g. psychologists, IT experts, to see a wide range of views and technical feasibility of other solutions, e.g. limitation of certain algorithms or replacing algorithms with those that would promote more educational content on social media which would let young people connect with friends while adding to their growth. Additionally, more experiments or research should've been conducted on the actual effect of social media as it may just be paternalism without reason. On the other hand, one could say that the policy window would close; however, if there was overwhelming evidence then it could be opened once more, i.e. right now there is not and yet it still opened.

4. Assuming the social media age ban will come into effect, discuss its potential impact on the social goals of efficiency and fairness. (20p)

I believe that the social media age ban will affect both the efficieny and fairness. First, it will liklely impair the efficiency of both social media platforms and the government. From the government perspective it will take a significant amount of resources to develop and implement such tools for age verification. From the social media perspective, even persons who are aged 16 or over, will have to face the requirement of doing age verificiation when using social media platforms. This would impair the user experience of the platforms, leading to losses in social media firms' inefficiencies, and it is unclear whether the human and financial resources to implement a nation-wide ban, would justify the health benefits of children, especially if this regulatory instrument could be potentially replaced by an information instrument, such as nudges or informational campains.
This ban would have serious implications for fairness. This ban would create a massive inequailty between those over and under age of 16. Even though the social media has its drawbacks, including the central issue of mental health, it does have very significant benefits, and this ban would deprive persons under 16 of

fundamental liberties, such as freedom of speech and access to information. While social media can be full of disinformation or hate speech, it can also be very educational and also provide more impartial event coverage. Additionally, why should people under 16 be unable to share their opinions, or their talents, to the world? According to Amartya Sen this ban would impair the "capabilities" of individuals, by depriving persons under 16 to achieve their "functionings".

Part II: Short essay-type questions (max. 60 points, 150 words limit per question)

(***Select and answer **five** out of the following questions. Inform your answers using relevant material from the lectures and from the required readings ***)

1) "The more any quantitative social indicator is used for decision making, the more subject it will be to corruption pressures and the more apt it will be to distort and corrupt the social processes it is intended to measure" (Donald T. Campbell, American policy evaluation scholar,1979). Discuss and give one example. (12p)

Donald T. Cambell's quote highlights Cambell's Law, which states that when a quantative social indicator is used heavily for decision making it can become susceptible to manipulation and distortion. As the indicator becomes more significant, there is a greater incentive to game the system rather than genuinely achieve the intended social outcomes. For example, in policing, crime rates are often used to evaluate department performance. to show reduced crime, police department may manipulate statistics by reclassifying certain crimes as less severe or choosing not to report them. Officers might also focus on targeting minor offenses (like parking violations) that are easier to address, rather then tackling serious crimes. As a result, the report crime rate may improve, but actual community safety is not necessarily enhanced. Cambell's Law warns against over-relying on single metrics and suggests considering broader, qualitative assessments.

2) Consider a scenario where economic inequality exists but overall social welfare is high. How would a utilitarian perspective differ from a Rawlsian perspective in evaluating this situation? (12p)

Utalitarians believe that total sum of hapiness/utility should be maximized, not taking other factors like equality into account. Utalitarians might justify doing harm to the least advantaged, as long as it increases total welfare. So, a situation like this might statisfy them as long as total welfare is high.
Rawlsians might argue using the Difference Principle, which states that inequalities are justified, if only they work to the advantage to the least-advantaged (the poor in this case). For example, Rawlsians might find this inequality justified if the wealthy are good doctors with high salaries, who really benefit the welfare of the poor. Otherwise, from a Rawlsian perspective this situation doesnt seem justified, although more information would be needed.

3) The process of making defense planning policy varies significantly across Norway, Denmark, and Sweden. Explain these differences and identify the most important veto player in each country's defense policy subsystem. (12p)

The approach varries in venues where the defense planning is made. Generally, defense planning includes: grand strategy, military strategy, military programmes and military plans.

In one country the decision is primarily given to ministry of defence, it develops the plan overall and only later brings to parliament for final adjustments. Here, by the nature of it the biggest power in policy-making is held by the MoD and the parliament is used for confirmation and legitimization. Therefore, MoD would never agree to implement some decision of the parliament in this regard, without big envolvement of MoD first. This describes Sweden.

In another country the decision is following the parallel process of continuous negoriations between MoD and parliamentary commission. Due to the ongoing negotiations between parties they posess similar power in shaping defense planning. This describes Denmark.

Finally, in the third country the decision is mostly carried by the legislature comittee with MoD as a consulting agent only. The legislature here is the main policy-maker, however the executive (MoD) might still be considered as a veto player during the implementation stage. This describes Norway.

4) Discuss the potential impact of populism on the bureaucracy of a democratic state. Give one real-world example. (12p)

Populism refers to an ideology, that considers society to be split into two homogeneous groups, namely the pure people and the corrupt elite. In a populist society, politics should be an expression of the general will of the people.
According to M. W. Bauer (2023) Populists try to transform bureaucracies by centralizing top-down command, cut administrative budgets, undermine democratic norms of how to run the civil service and reduce accountability and societal participation. This can lead to democratic backslidig, which implies a gradual decline in the quality of democracy. In the long term, this can lead to the erosion of democratic institutions, concentration of power in the hands of a single leader, increased political polarization and manipulation of electoral processes.
As can be seen by US president Donald Trump's Schedule F Order, he uses politization to reclassify civil servants and puts them into strategic positions, which could lead to an increase of bureaucratic discretion and democaratic backsliding in the long term.

5) Explain the difference between the policy instruments of a financial grant and a nudge. For each instrument, name two advantages and two disadvantages. (12p)

A financial grant is a treasure-based policy instrument that provides direct monetary monetary incentives to influence behaviour. Financial grants typically reduce the cost of desirable activities, such as adopting renewable energy technologies or providing

support for farmers. They rely on economic rationality by changing the financial costs of individuals, thus making a certain choice more attractive. The main advantages of treasure instruments are that they promote innovation and has a greater chance of realizing potential Pareto-improvements. The drawbacks include negative effect on the state's budget and difficulty of calculating the right level of incentives (e.g. how much money should be granted for buying an electric car)
A nudge is an information-based policy instrument that only subtly chages the decision-making enivornment without changing financial incentives. The nudges try to leverage behavioral insights to influence choices. Some examples include rearranging caffeteria items to promote healthy eating, or using a dynamic speed sign, which tells the drivers whether they are exceeding the speed limit, without any legal enforcement. Main advantages: cheaper to implement and maintains the values of autonomy and responsibility. One disadvantage is that nudges' scientific effect might be overstated due to publication bias. Another drawback is that nudges can lead to information overload.

6) Explain the concept of algorithmic accountability and give one real-world example of how it can be integrated into a comprehensive AI regulation policy. (12p)

Algorithmic accountability is about holding developers and users of algorithms responsible for ensuring these systems function equitably and transparently. It involves evaluating algorithms to prevent unintended consequences, especially in critical areas like finance, healthcare or criminal justice. For example now governments are integrating technologies like artificial intelligence (AI) to enhance transparency, accountablity and fairness in decision making processes. The UK's algorithmic transparency recording standart ensures clear information on AI usage in governemnt decisions. It emphasizes public understanding of AI usage and ensures the usage is ethical and unbiased. Although AI is beig rapidly and successfully implemented in various industries and has some challanges. For instance, lack of regulations - there are limited legal frameworks to enforce accountability, making oversight inconsistent. Or Complexity of algorithms requires technical expertise to understand and audit it.

Part III: Multiple-choice questions (max. 20 points)

1) A city government is considering two policy options to reduce traffic fatalities. Option #1 – a city-wide speed limit reduction to 30km/h – is expected to save 30 lives per year but causing 60 million hours lost per year (due to people spending more time in traffic). Option #2 – constructing a new tunnel bypassing the city center – is expected to save 20 lives per year without causing any time losses. Suppose the value of a statistical life is EUR 10 million and the annualized cost of the tunnel is EUR 80 million. Which policy should be adopted on economic welfare grounds? (2p)
    a. Option #2 if (and only if) the monetary value of time is smaller than EUR 3/hour.
    b. Option #2 if (and only if) the monetary value of time is greater than EUR 3/hour.
    c. Option #2 if (and only if) the monetary value of time is greater than EUR 5/hour.
    d. Option #1 regardless of the monetary value of time.

2) Social media influence agenda-setting… (2p)
    a. Through their gatekeeping function, preventing problem definition from escaping the control of elites.
    b. If public awareness of an issue is low and if policy-makers are divided over that issue
    c. Through algorithms that prioritize popular or engaging content and that may exacerbate ideological segregation.
    d. Through algorithms that create new issues, which policy-makers then pick up at the 'alarmed discovery' stage of Downs's Issue Attention Cycle.

3) Which of the following statements about randomized control trials (RCTs) in public policy is false? (2p)
    a. RCTs are designed to solve the attribution problem by isolating the effect of a policy intervention while keeping all confounding factors as stable as possible.
    b. The results of RCTs can easily be generalized to broader populations, making them universally applicable for policy-making.
    c. RCTs are designed to eliminate selection bias by randomly assigning participants, which strengthens causal inference.
    d. Ethical challenges are well-documented issues in RCT-based evaluations.

4) Which of the following statements best describes interest group corporatism? (2p)
    a. It is a governance model where interest groups dominate policy-making, excluding political parties from formal influence.
    b. It is a governance model where interest groups compete independently to influence policy through lobbying.
    c. It is a governance model where government collaborates with a few powerful, organized interest groups to elaborate and implement policy interventions.
    d. It is a governance model that reflects the goal of power concentration typical for Westminster democracies.

5) In the Advocacy Coalition Framework, a policy broker is distinct from a policy entrepreneur in that he/she: (2p)
    a. Uses personal resources and networks to push innovative policies that challenge the status quo.
    b. Mediates between conflicting advocacy coalitions, aiming to find compromise, to clarify the dimensionality of conflict, or to reduce conflict in the policy subsystem.
    c. Pursues no selfish motives or strategic objectives
    d. Is more likely to be successful at shaping actors' deep core beliefs.

6) What is not an instance of policy diffusion? (2p)
    a. A country adopts environmental regulations after observing their success in reducing emissions in neighboring states.
    b. Macroeconomic 'austerity' policies adopted by countries who suffered from the fallout of the 2007-2008 financial crisis.
    c. The proliferation of anti-money-laundering measures in the legislations of OECD member states
    d. Soviet legacies that predetermine the patterns of welfare state development in the Baltic states.

7) Which statement best describes the tensions that may arise between the multi-level governance model (MLG) and the Westminster system of government? (2p)
    a. MLG relies exclusively on parliamentary sovereignty, a principle that is incompatible with the hierarchical structure of the Westminster system.
    b. MLG eliminates the need for a strong executive, whereas the Westminster system is centered on executive dominance.
    c. The Westminster system requires strict separation of powers, while multi-level governance blurs the boundaries between the executive, the legislature, and the judiciary.
    d. The diminished ability of central governments to direct policy under the MLG model is a problem for ministers who need to project an image of unity and governing competence based on top-down control.

8) Which statement about the welfare state is false? (2p)
    a. Historically, the welfare state has emerged as a response to societies' aversion to inequality.
    b. Historically, the welfare state has emerged in the advanced stages of industrialization in a bid (by the owners of productive capital) to contain workers' growing sympathies with socialist ideas.
    c. The efficiency cost of welfare state redistribution, and society's willingness to trade off efficiency and fairness, is the problem underlying Okun's "leaky bucket" theory.
    d. A welfare system falls into the liberal category if it places a strong emphasis on individual responsibility and means-tested benefit allocation.

9) Secondment is the practice of: (2p)
    a. Hiring external consultants to advise on policy projects without integrating them into the organization.
    b. Dispatching a civil servant from his/her regular organization for temporary assignment elsewhere.

c. Permanently transferring a civil servant to a different department or organization within the public sector.
d. Parliamentary endorsement of specific civil society interests in consensus democracies.

10) The evidential view of the connection between preference-satisfaction and well-being says that: (2p)
a. The satisfaction of any preference, even irrational or uninformed ones, contributes equally to an agent's well-being.
b. When an agent's beliefs about the properties of goods are true, his/her preference of x over y is reliable evidence that x indeed increases his/her well-being more than y.
c. When an agent's beliefs about the properties of goods are true, his/her preference of x over y guarantees that x objectively increases his/her well-being more than y.
d. None of the other options.